

Public Policy Targeting Workers

Labor I – Week 11

Teaching deck draft

Central question and why this is the capstone

- Week 11 asks how labor economists evaluate policies that primarily act on workers rather than directly on firms.
- This is the worker-side capstone because it synthesizes incentives, dynamics, human capital, households, mobility, and frictions.
- The core challenge is to separate statutory policy from effective policy exposure.

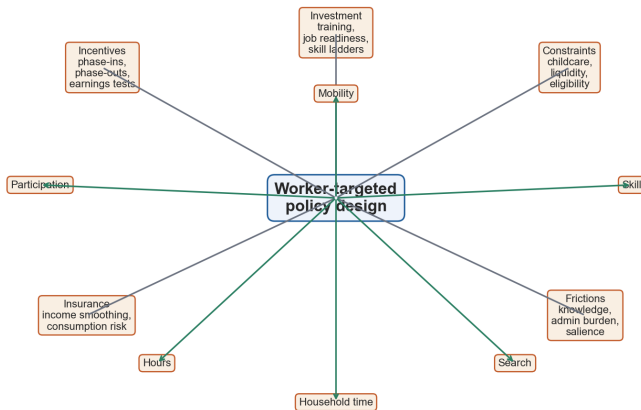
Weeks 2–10 mapped into policy margins

- Week 2: taxes, credits, and extensive versus intensive labor supply.
- Week 3: benefit timing, search incentives, and continuation values.
- Week 4: training and skill policy as dynamic investment.
- Week 6: childcare, leave, and household time allocation.
- Week 10: mobility support, search help, and place constraints.

$$c_t = y_t + w_t h_t - T_t(w_t h_t, z_t) + e_t B_t(w_t h_t, z_t) - p_t^a a_t$$

- Policies act through incentives, constraints, insurance, frictions, and investment.
- Effective enrollment e_t reminds us that eligibility is not treatment.
- The labor question is which worker-side margin actually moves.

Policy channels and worker margins

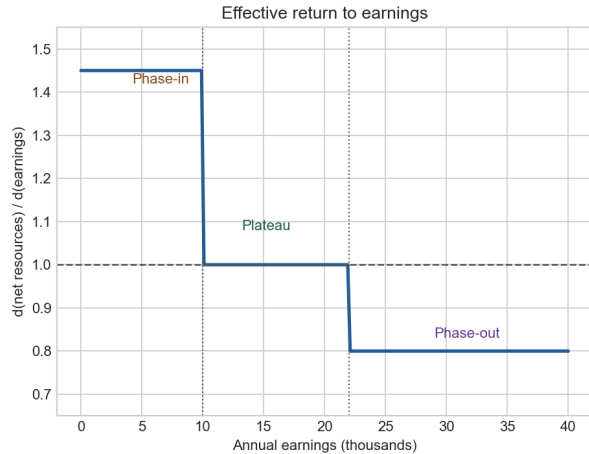
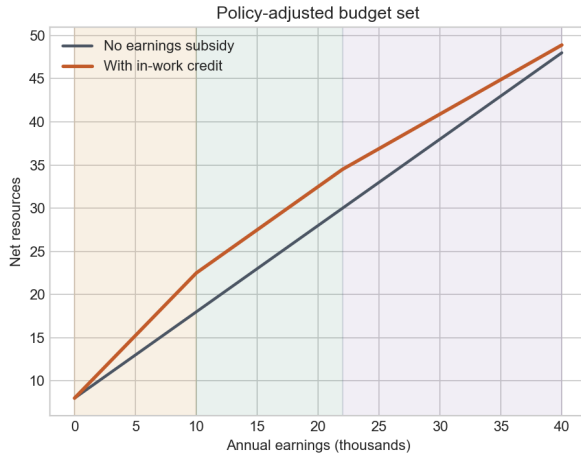


Week 11 asks which worker-side margin the policy actually moves, and through which channel.

$$\frac{d\mathbb{E}[wh]}{d\theta} = \bar{h} \frac{d\Pr(h > 0)}{d\theta} + \Pr(h > 0) \frac{d\mathbb{E}[h \mid h > 0]}{d\theta}$$

- In-work credits often raise participation strongly while generating mixed hours responses.
- Phase-in, plateau, and phase-out regions imply different returns to earnings.
- Family structure matters for incidence and interpretation.

Tax-credit schedule intuition



UI, benefit timing, and search assistance

$$U_t(b_t) = u(c_t, \ell_t) + \beta [\lambda_t(b_t)W_{t+1} + (1 - \lambda_t(b_t))U_{t+1}(b_{t+1})]$$

- UI is an insurance object and an incentive object at the same time.
- Timing matters because liquidity needs are front-loaded over the unemployment spell.
- Search help can complement cash support rather than substitute for it.

- Training should be evaluated dynamically, not only by short-run placement.
- Useful outcomes include earnings growth, occupational upgrading, and search quality.
- Job-readiness interventions often work through information and application quality.

- Childcare and leave policy alter the shadow price of time inside households.
- Participation responses can be large even when hourly wage elasticities are modest.
- Household incidence matters: partner hours, bargaining, and care substitution may all move.

Disability and retirement incentives

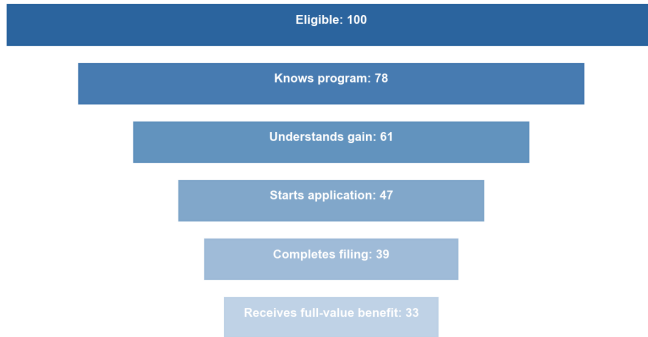
- Disability receipt is a labor-supply object and a household-insurance object.
- Retirement earnings tests and thresholds create dynamic incentives and local bunching opportunities.
- Judge or examiner assignment is often the key source of identifying variation.

Take-up, salience, and administrative burden

$$D_i = \mathbf{1} \{ \mathbb{E}_i[B_i \mid \mathcal{I}_i] - \kappa_i - \phi_i - s_i > 0 \}$$

- Take-up is the bridge from statutory generosity to effective exposure.
- Null labor-market effects may reflect a weak delivery first stage rather than zero responsiveness.
- This is the direct bridge to Week 12 frictions.

The take-up funnel

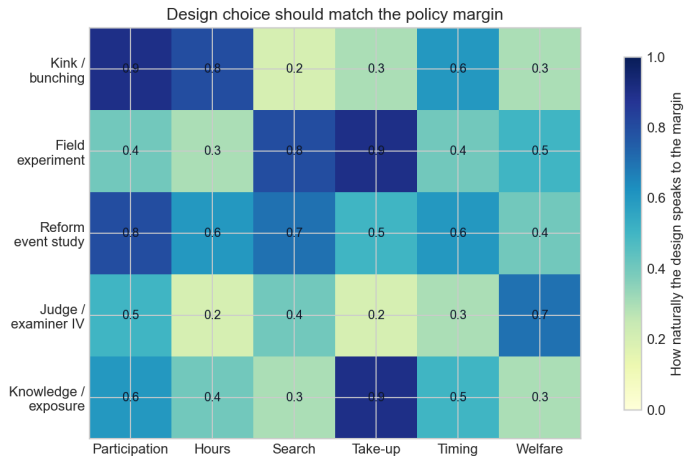


Take-up falls at every delivery stage, so statutory generosity is not effective exposure.

$$\tau^{IV} = \frac{\text{Cov}(Z_i, Y_i)}{\text{Cov}(Z_i, D_i)}$$

- Kink and bunching designs match nonlinear schedules and thresholds.
- Field experiments and encouragement designs match delivered interventions and take-up.
- Reform event studies, judge IV, and knowledge-exposure designs match different institutions.

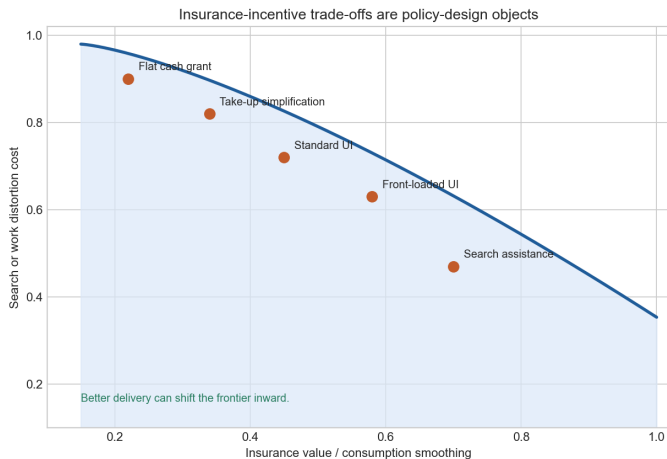
Design choice must match the policy margin



$$\frac{dW}{d\theta} = \sum_i \omega_i \frac{\partial c_i}{\partial \theta} - \lambda \sum_i \frac{\partial y_i}{\partial \theta} + \sum_i \eta_i \frac{\partial D_i}{\partial \theta}$$

- Employment effects are not enough for worker-policy ranking.
- Insurance, redistribution, delivery gains, and distortion costs all matter.
- Heterogeneity in constraints and frictions changes welfare ranking.

Insurance-distortion frontier



Researcher's checklist and bridge to Week 12

- What exactly is the policy object?
- Which worker-side margin is supposed to move?
- What frictions intervene between statute and exposure?
- What identifying variation matches the institutional margin?
- Which outcomes are dynamic, and what welfare claim is actually justified?

Takeaways

- Worker-targeted policy is the place where Labor I theory and modern design meet.
- The same policy can work through incentives, insurance, or frictions.
- Take-up and administrative design are first-order labor objects.
- Week 12 begins where Week 11 ends: with labor supply under frictions.

Appendix: optional extension block

- Administrative burden and take-up.
- Front-loaded unemployment benefits.
- Household insurance and disability receipt.